

5 Final Project: Replicate and add your contribution

Replicate and extend a paper from (i) the list of references in the course syllabus (available on Moodle), (ii) references in [SAR](#) or [LHP](#), or (iii) one of the repos mentioned in the Code repositories section above. Confirm your choice with the lecturer before starting. Newer, less well-known papers are valued over older canonical results — if a paper has been replicated a hundred times, the bar for your extension is correspondingly higher. Complexity has a premium: a robust extension of a recent paper outperforms a clean replication of a classic one.

The report should have **no more than five pages** and must include:

1. **Motivation.** A one-paragraph summary: what question does the paper ask and why does it matter in today's market environment?
2. **Replication.** Reproduce the main result. Do your findings match the paper? If not, explain why — data vintage, methodology choices, and sample differences all count as real findings.
3. **Extension.** At least one original extension, clearly motivated. Typical directions: test the strategy out-of-sample in different geographies or asset classes; extend the sample period to include more recent data and assess whether the result survives; stress-test under realistic transaction costs or an alternative risk model; combine the signal with a second factor and assess the interaction. Explain what you expected to find before running the analysis and why.
4. **What AI couldn't tell me.** A short paragraph describing one aspect of your analysis — a result, a design choice, or an interpretation — where AI assistance was insufficient and you had to rely on your own judgement. Be specific: what did you ask, what did the AI say, and why was that not enough?

You are encouraged to use AI tools throughout — for code, literature search, and as a thinking partner. The analysis, interpretation, and judgement must be your own.